

DOCU deck

PITCH — DOCU — VERDICT

ADJUDICATED 2026-08-07 — DECLINE / RP_UNCERTAIN: fairly priced at ~20x true owner earnings (probability-weighted fair value \$60.09, +4.7% from the \$57.39 court price), not impaired, but sitting on a long-term value the company itself just told us is less defensible than it claimed a year ago.

What we believe

Docusign is a healthy, cash-generative, debt-free business that is worth roughly what it costs. It is not a broken company and it is not a fraud. It is also not cheap enough to own.

Three things we believe, in plain terms:

- 1. The growth is real but stuck.** Revenue has grown 7–9% a year for three straight years. The new product line (“IAM” — Intelligent Agreement Management, their AI-flavored contract platform) has gone from 2.3% of recurring revenue to 12.6% over roughly eight quarters, and total company growth has not budged. The other 87% of the business is flat. Even if IAM grows 50% next year and 40% the year after, total growth only gets to about 9.6% by 2030. The arithmetic caps the upside at roughly one extra percentage point over four years.
- 2. The cash flow is real but much smaller than the headline.** Docusign advertises \$1.12 billion of trailing free cash flow. Once you charge the real cost of paying employees in stock — both the \$246.5M of cash the company spends withholding taxes on employee shares (which is recorded as a financing item and therefore never touches the free-cash-flow line) and the shares that actually get issued — the honest owner’s earnings figure is about **\$491 million**. Against an enterprise value of \$9.93 billion that is **20.2x earnings, a 4.94% yield**. That is a fair price for an 8% grower. It is not a bargain.
- 3. The buyback is genuine and the balance sheet is clean.** They bought back \$318.4M in one quarter, share count is actually falling (202.5M → 190.9M over about fifteen months), and the board authorized another \$2.0B in March 2026 leaving \$2.4B available — about 22% of the market cap. No debt, no convertibles, no preferred. This is the strongest fact on the bull side and it is verified.

Net: **we do not buy it here.** Expected return is roughly 9–10% a year if nothing goes wrong — an equity-market return for a single-name risk, with a fat left tail we cannot size.

What the market believes

At \$57.39 the stock priced in **4.82% perpetual growth** in owner earnings (reverse-discounted at 10%). That is a market saying: *this is a durable cash machine that grows slightly faster than the economy forever, and neither the AI story nor the AI threat changes much.*

The market is not pricing a collapse — it would take a drop to about \$49.95 to imply 4% perpetual growth and about \$43.21 to imply 3%. It is also not pricing an AI winner — that would take 6% perpetual growth and a \$73.53 price. The market has landed almost exactly on “fine, boring, fairly valued.” **We agree with the market. That agreement is the reason we pass.**

One update since the court sat: the stock is now **\$62.28** (up 8.5% from the \$57.39 court price). It has traded *through* the probability-weighted fair value of \$60.09. Whatever thin edge existed on 2026-08-07 has been consumed by the tape.

Why we might have edge

We had one genuine edge and it turned out to point the wrong way, which is worth saying up front.

The edge we built: On 2026-03-17 Docusign announced in writing that it would stop reporting “billings” — the forward-looking bookings number it had published for eight years — and replace it with an annual “recurring revenue growth rate.” It stopped reporting six weeks into what would turn out to be its weakest first quarter in three years. Retiring your leading indicator right before a weak print is exactly the pattern we screen for.

Our team rebuilt the billings figure from the company’s own published formula and the raw balance-sheet lines, and validated it against the printed number for **eight consecutive quarters with zero error to the dollar**. Then we applied it to the quarter the company went dark on.

What we found: no deterioration. Reconstructed Q1 FY27 billings were \$766.5M, +3.6% year over year — weak-looking, but Q1 is structurally the weak quarter every year (+5.2%, +4.2%, +3.6%). On a rolling twelve-month basis billings are **+9.35%**, flat across four quarters and *above* both revenue growth and recurring-revenue growth. And the one number the company cannot retire — deferred revenue on the GAAP balance sheet — grew from \$1,447.2M to \$1,594.7M, **+10.2%**, faster than revenue ([Q1 FY27 10-Q](#)).

So the edge is real but it is an **anti-finding**: the concealment we expected is absent, and the absence is the result. That is worth recording — it tells us the honesty screen works and it tells us not to short this name — but it does not create a position.

The residual edge that does survive: outside verification of Docusign’s forward growth just went from four times a year on a fully reconstructible metric to once a year on a metric that reconciles to no financial statement line and is computed on an allocation method management controls. Our reconstruction closes that gap *today*. It **decays** — two of the inputs (refund liability, unbilled receivables) are now unobservable and will drift silently. Error is about ± 1 percentage point now and widens every quarter. We are the only party in the market who can still audit the number, and that capability has a shelf life.

Why it might be priced in

Bluntly: because it is.

- **The valuation is checked twice by two independent methods that agree within 2%** (20.2x from the cash/share side, 19.8x from the expense side). There is no hidden discount.
- **The good news is already public.** The buyback, the record cash flow, the GAAP profit inflection (operating income +85%) were all in the June press release.
- **The bad news is public too** and the market has had five months with it: growth guided to +7.4% excluding currency, and non-GAAP gross margin *falling* (82.3% → 81.5%) at a company whose whole story is AI.
- **The one thing that might not be priced runs against us, not for us.** In the FY26 10-K Docusign **deleted** its prior claim that Intelligent Agreement Management is “*a new software category without incumbent competitors*” and **added** a new paragraph saying AI advances are making the core capabilities of its product “*cheaper and easier to replicate*,” such that it may increasingly compete with LLM providers, data platforms, and customers’ own homegrown tools ([FY26 10-K](#)). The issuer withdrew its own moat claim and added a substitution warning in the same document. If anything is mispriced here, it is that the terminal value deserves a *lower* multiple, not a higher one.

What we checked ourselves

Both benches got the identical evidence pack. The prosecution bench (“red”) argued to reject; the defense bench (“blue”) was assigned to break that rejection. Blue failed to break the conclusion but broke several of red’s arguments — and blue’s own lead attack failed against blue. Bench errors are in the table.

claim	how checked	found	confirmed?
Billings formula can be rebuilt from public filings	Rebuilt from the company’s printed definition, tested against 8 consecutive earnings releases	\$0 error on 8 of 8 quarters ; the reconstruction of the dark quarter inherits that fidelity ±1pp	YES
Withdrawing billings concealed a downturn	Applied the validated formula to Q1 FY27	TTM billings +9.35%, flat; deferred revenue +10.2%; no deterioration	NO — our own referral thesis is REFUTED. The prosecution killed its own case first, which is the correct behavior
Deferred revenue figures cited by red	Blue independently re-pulled every balance-sheet input from XBRL	\$1,337.1M → \$1,447.2M → \$1,594.7M; ties to the dollar	YES
Free cash flow is inflated by one-off collections	Blue decomposed the trailing-twelve-month	RED BENCH ERROR (overstated). Receivables were flat year over year on a TTM basis, so TTM cash flow carries no	NO — red was wrong; TTM FCF of \$1,120.2M is sound

claim	how checked	found	confirmed?
	statement, not just the quarter	collections benefit. Red mistook a normal seasonal Q1 collection for a driver	
Charging all stock comp against cash flow double-counts the shrinking share count	Blue rebuilt the true cost from actual shares issued to employees + cash tax withholding + employee purchase proceeds — a completely different route	BLUE’S OWN LEAD ATTACK FAILED. True economic comp cost \$629.0M vs red’s \$618.1M charge — red was \$10.9M too lenient. Blue withdrew the charge	YES — the ~20x multiple survives both routes
“Buyback recovers 61 cents of every dollar after dilution”	Recomputed from filed share-repurchase XBRL tags	RED BENCH ERROR. Actual FY26: \$874.9M at \$73.89 (not ~\$1.0B at ~\$75); net-to-gross 39.8% (54.8% TTM), not 61%. About 60 cents of every buyback dollar just neutralizes dilution	NO — red’s strongest bull fact is weaker than red said
Falling diluted share count = buyback working	Read the antidilution footnote	Partly mechanical: 13,151k restricted shares excluded as antidilutive this quarter vs 1,077k a year ago — a low stock price, not capital return	PARTLY — misleading if read as buyback alone
“IAM is a repackaging with no price increase”	Blue opened the live pricing catalog; red never did	RED BENCH ERROR. IAM Standard \$50/user/mo vs eSignature Standard \$30 (+ 67%); IAM Professional \$80 vs Business Pro \$45 (+ 78%); 3-user minimum lifts the entry contract from \$360 to \$1,800. Both product families coexist — not a rename	NO — mechanism refuted
But does the price increase reach the P&L?	Gross margin series + two earnings-call transcripts	Non-GAAP gross margin 82.2% → 82.0% → guided 81.5–82.0%. The words “uplift,” “ASP,” and “price increase” appear zero times in the 10-K, 10-Q and release. Asked directly to confirm even a high-single-digit uplift, the CFO declined	RED’S CONCLUSION UPHELD on different grounds: list price up, realized price unevidenced
“DocuSign discloses no customer-retention metric at all”	Blue pulled the Q4 FY26 call transcript via web archive	RED BENCH ERROR — coverage failure, not a company failure. CFO Blake Grayson: “ <i>gross retention and dollar net retention rates for these IAM early renewal cohorts are better than the company average... cautiously optimistic... the sample size is pretty small</i> ”	NO — should have been logged as a small-sample positive
“40,000 customers” vs “>25,000” is a definition change	Blue read the Q1 FY27 prepared remarks	RED BENCH ERROR. “ <i>We have 40,000 companies invested in IAM and they generated 12.6% of total company ARR.</i> ” Same metric, no redefinition. Red’s short-side trigger built on this was struck	NO — struck. Red’s related point survives: revenue per IAM customer is flat-to-down as the mix moves to smaller customers
Growth-adjusted valuation (“PEG”) of 2.6	Units audit	RED BENCH ERROR. Red divided an <i>earnings</i> multiple by a <i>revenue</i> growth rate. With margins expanding, correct	NO — but the fair-value conclusion survives the correction

claim	how checked	found	confirmed?
		figure is 1.50 (or 2.19 on last year's actual), not 2.67	
The re-entry trigger red set (billings +7.5% for the first half)	Blue back-tested the bar against red's own validated series	RED BENCH ERROR — the trigger was mis-set 3:1 against the long. It required Q2 to grow +11.0% against the strongest comparison in the series; only 1 of the last 9 quarters would have cleared it, while the short-side bar was cleared by 3 of 9. A perfectly on-trend print could not have flipped the verdict	NO — replaced. The armed gate now uses blue's seasonality-free version: TTM billings $\geq +8.0\%$, i.e. $Q2 \geq \\$876.6M$
Red's own "I'd flip to long if..." conditions	Blue checked them against the filing red itself cited	RED BENCH ERROR — condition #4 was already fully satisfied and red never checked it. Buyback $\geq \$300M/qtr \rightarrow \$318.4M \checkmark$; net share count falling $\geq 6\%$ annualized $\rightarrow -9.19\% \checkmark$; while below $\$60 \rightarrow \$57.39 \checkmark$. Red had called this "the single fact most capable of making this rejection wrong." Condition #2 (deferred revenue $> +8\%$) also already exceeded at $+10.18\%$	NO — and this is the most uncomfortable finding in the file. Two of five flip conditions were met at court time. The adjudication still declined, on price
"The AI-agent risk tag is a screening artifact — this is just e-signature saturation"	Blue diffed the competition section across two annual reports	RED BENCH ERROR — refuted by the company, against blue's own assigned side. FY26 adds the LLM/homegrown substitution paragraph and deletes the "no incumbent competitors" claim	NO — terminal risk is HIGHER than red assessed
The bundling threat (Microsoft/Adobe crushing them)	Blue hunted dated primary evidence	BLUE CORRECTED ITS OWN SIDE'S PREMISE. Microsoft is a <i>distribution channel</i> , not a bundler — it ships Docusign inside SharePoint at no Microsoft charge while metering its own simple-signature service at \$2.00/request with no advanced authentication; it is never named a competitor in three annual reports. Adobe's bundle is real at the low end but withholds knowledge-based and phone authentication — exactly Docusign's ground	BUNDLING THESIS REFUTED. The real risk is AI substitution, which nobody can size
Third-party market-share data showing Docusign losing share	Checked the vendor's own base	Excluded as false. The apparent $59.8\% \rightarrow 43.4\%$ "decline" coincides with the vendor's detected-company base rising $+68\%$ — a crawler-coverage artifact, in a category that lists GitBook as a competitor. Two other vendors returned 404/403	NO — a false bear datapoint correctly thrown out
The offsetting option value (notarization, contract lifecycle, identity)	Full-text search of the annual report	Unquantified and adverse. "Notary" appears once, as one of five bullets; "Docusign Identify" does not appear at all; contract-lifecycle management is flagged as a drag on sales cycles. One segment, one reporting unit — product-level revenue will never be disclosed	NO offset available

claim	how checked	found	confirmed?
Our own evidence pack's financial tags	Cross-checked against the 10-Q	OUR PACK LAGS. The machine-built pack's quarterly revenue series tops out at the April-2025 quarter (\$763.7M); the current quarter is \$830.2M. Both benches went to the filings directly and were right to. The pack's share-count and cash-flow tags do tie	PACK PARTIALLY STALE — flagged for the pipeline
Adjudication vs benches	—	Red labeled this “fairly priced, no overlay.” The adjudication overrode that to RP_UNCERTAIN : fairly priced <i>against a terminal value the issuer has just conceded is less defensible</i> , with no quantified offset	ADJUDICATION BINDS

PROPOSED ENTRY BANDS

There is no entry. The verdict is DECLINE. Position: none. Orders: none. Size: 0% of book.

These are the **reopen gates**, reproduced exactly as adjudicated — they are the only conditions under which this name comes back to court, and no price level is armed as an entry:

- **Q2 FY27 print ~2026-09-03 (est): TTM billings $\geq +8.0\%$ (Q2 $\geq$ \$876.6M) -> re-court the long**
- **any quantified IAM-cohort NDR disclosure -> re-derive terminal**

Supporting arithmetic so the desk knows what these numbers mean:

- **\$876.6M is the seasonality-free bar**, derived from blue's correction of red's mis-set gate. Prior-year trailing billings were \$3,233.2M; +8.0% requires \$3,491.8M; the three known quarters sum to \$2,615.2M; the residual is **\$876,623k**. Against Q2 FY26's \$818.0M that is **+7.2% year over year** — a bar a genuinely on-trend business clears, unlike red's original +11.0% bar which only 1 of the last 9 quarters would have met.
- **The number will not be printed.** Docusign no longer reports billings. We reconstruct it from the 10-Q balance sheet, which lands about one day after the release, with roughly $\pm 1\text{pp}$ of error that widens each quarter. Reconstruction is a desk task on print day, not a data feed.
- **The second gate is about the only thing that could change the terminal value.** The CFO has said IAM-cohort retention beats the company average but has refused to quantify it. A quantified figure — in any venue — is the single disclosure that would let us re-derive what this business is worth in ten years rather than guess.

For reference only, not armed as entries: blue's reverse-discounted-cash-flow ladder says the price implies 4.82% perpetual growth. \$49.95 implies 4.0%; \$43.21 implies 3.0%; \$73.53 implies 6.0%. Probability-weighted fair value is **\$60.09**. At today's **\$62.28** the stock trades above that. The adjudication armed no price entry and we are not inventing one.

Catalyst date: 2026-09-03, Q2 FY27 results — derived from a market-data feed, **not confirmed by a company announcement**. Treat print proximity as approximate until Docusign issues a scheduling release.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 60.0 (deck-provisional: Red's flip condition #4 requires price below \$60 alongside buyback $\geq \$300\text{M}/\text{qtr}$ and share count $-6\%+$ an)
- filing watch: 10-Q until 2027-02-16 (deck-provisional: Q2 FY27 balance sheet is the ONLY way to reconstruct billings against the \$876.6M gate; lands ~1 day a)
- dated pack DOCU|2026-09-03: DOCU Q2 FY27: HIT = Q2 billings $\geq \$876.6\text{M}$ (TTM $\geq +8.0\%$, blue's seasonality-free gate). RESOLVE: `python3 -m desk.calibration resolve DOCU F`
- dated pack DOCU|2027-03-17: DOCU: FY27 10-K (est., same week as FY26) — competition-section diff and the queued enterprise/mid-market/SMB customer redefinition (date co

What remains unverified

Stated plainly, because several of these are load-bearing:

- **The print date.** 2026-09-03 comes from a market-data feed, not from Docusign. Until a company release names it, every dated sensor above carries date risk.
- **The size of the AI-substitution risk.** This is the whole ballgame for the terminal value and **nobody can size it** — not us, not the benches, and evidently not the company, which flagged the risk in words and quantified nothing. We are declining partly on an unquantifiable, and we should say so rather than dress it as analysis.
- **Whether the higher list prices for IAM are actually being collected.** List price is up 67–78%. Realized price shows up nowhere: gross margin is down, and the CFO twice declined to confirm any magnitude when asked directly. We have proof of a price *card*, not of price *received*.
- **Retention, quantitatively.** One qualitative sentence from the CFO — “better than the company average,” on an admittedly small sample. Docusign is the only name in its eleven-company peer set that publishes no retention metric at all. That is not evidence of a problem; it is the absence of the evidence we would need to underwrite one.
- **Revenue per IAM customer.** It appears to have fallen roughly 25% in a quarter as the mix moved to smaller commercial customers, but that rests on comparing a “ $>25,000$ ” figure to a “40,000” figure across different disclosure venues. Directionally consistent with management's own description of who is adopting; not precise.
- **Remaining performance obligation.** Reported rounded to the nearest \$0.1B, which is $\pm 4.3\%$ on this base — a 9% grower and a flat business look identical. Directionally soft, unusable as a gate.

- **The durability of our own reconstruction.** It is exact today and decays. We do not know how fast. The first quarter where the reconstructed figure and the eventual annual recurring-revenue disclosure disagree materially will tell us — and that is a year away.
- **Our evidence pack lagged the filings by four quarters** on the quarterly income-statement tags. Both benches worked around it by going to primary sources. That worked here because two strong benches were watching; it would not have worked in a thinner review. Fixing the pack is a pipeline task, not a DocuSign task.

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ADJUDICATION — 2026-08-28 (supersedes this deck's provisional record AND the reverted 8/27 rubber-stamp)

WAIT — flat into the September 3 print (IR-confirmed), post-print two-leg flip gate to a 0.25% starter at a \$60.00 tripwire; ceiling 0.5% permanent. The 8/26 band fire at \$59.80 completed red's flip condition #4 (buyback \$318M/qtr XBRL-verified; the borderline share-count leg PASSES on the run-rate basis the condition's own wording implies: -7.2% to -9.19% annualized). The tape then front-ran the print (+7.5% to \$63.80) — entry today would be the resting-into-print error executed by hand. The “any two” standard is decided at the print: condition #2 (contract liabilities ≥\$1,580.5M) and recalibrated #1 (recon billings ≥+6.0%; blue proved red's +7.5% bar sat near the top of the distribution) both read on 9/3. BOTH pass → the \$60 tripwire arms (no chase — probability-weighted FV ≈ \$60.1). Either fails → WATCH, band retired. **Binding kills:** acceleration is arithmetically capped (non-IAM = 83% of ARR, flat; heroic IAM compounding buys ~1pp by FY30) and the issuer itself deleted its IAM moat claim while adding LLM-substitution risk to the FY26 10-K with

zero quantified offset — that self-disclosure is the RP_UNCERTAIN ceiling. STRUCK: billings-withdrawal masking (red's own \$0-error reconstruction — graded anti-masking), near-term agentic seat erosion (damage absent where predicted: >\$300k ACV +6.5%), Microsoft bundling. **Housekeeping:** the reverted rubber-stamp's numbers failed verification 3-of-4 (\$1.25B FCF→\$1,120M; 38% margin→32.6%; 11.6× fwd→~14.3×). Frozen calls: DOCU-Q2CL p=0.70, DOCU-Q2BILL p=0.55. Never a short (zero debt, \$2.4B authorization = 21.9% of cap). **Pre-mortem:** “If this position loses money, the most likely reason will be that the long-dated AI substitution the issuer itself began disclosing out-compounded the buyback — we bought a fair multiple on a flat business whose terminal value was quietly repricing lower while the share count shrank too slowly to matter.”